Comparing Strategies in Different Market Environments

With this overview of how the different variable spending strategies performed historically, it is worthwhile to put a bit more effort into understanding the relative performance of these strategies in different market environments. Toward this end, I chose the years 1966 (poor retirement environment), 1982 (great retirement environment), and 1946 (average retirement environment) to demonstrate the evolution of spending and wealth with the strategies.

First, 1966 represents a tough year to enter retirement, as this year triggered the lowest sustainable spending rate of just over 4 percent for the constant inflation-adjusted strategy. Exhibit 6.17 provides the path of spending and wealth for each of the ten strategies for the years 1966–1995. We can observe that the constant inflation-adjusted spending strategy and Michael Kitces's ratcheting strategy both sustained real spending at the initial $4 throughout the thirty-year horizon. During these years, the ratcheting strategy was never afforded an opportunity to increase spending. With both of these strategies, wealth is on the verge of depletion by the end, and both strategies would deplete assets in year thirty-one of retirement.

The other eight strategies led to reduced spending early on and throughout retirement. For the fixed-percentage, moving-average endowment formula, and Vanguard's floor-and-ceiling rule, real spending fell by 50 percent about fifteen years into retirement. After this point, the Vanguard strategy kept spending at the lower level, as it was difficult for the strategy to reach the wealth triggers needed to allow subsequent spending increases. This allowed real wealth to grow the most by the end of the retirement horizon, exceeding its initial level in real terms.

As for other strategies, Bengen's floor-and-ceiling rule quickly found its way to the hard-dollar floor and did not subsequently increase during retirement. The smoothing endowment formula, Guyton and Klinger's decision rules, and Zolt's glide path rule all kept spending and wealth within the middle range of the strategies. The modified RMD rule is the only strategy to eventually allow for real spending to increase above its